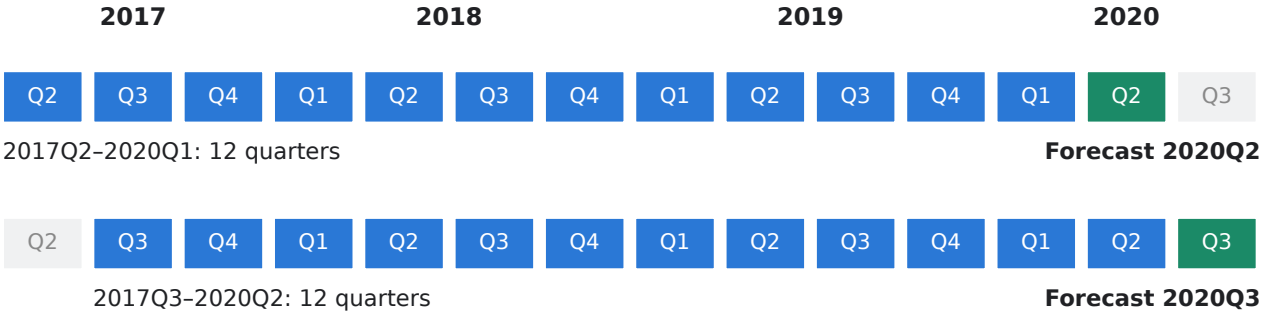
1 Roll the 12-quarter window forward

Blue: quarters eligible for estimation Green: quarter being forecast



Only outcomes published before that forecast month enter estimation.

2 Within one forecast: two different information cutoffs

Example: a firm's 2020Q2 EPS is announced on 28 August 2020.

1 AUGUST

Estimate the models

Use eligible training outcomes published before 1 August. Then hold parameters fixed.

→

27 AUGUST

Make the forecast

Use EPS known by this day, including new August inputs. Save the EPS prediction.

→

28 AUGUST

Observe and score

The target EPS is released. Compare it with the saved forecast to measure error.

Out of sample: the target outcome is hidden until after its forecast is saved.

Repeat for each announcement; update estimation monthly and slide the window with q.